

KAVUS CAPITAL PARTNERS

Distressed Credit | Institutional Grade | Asymmetric Returns

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FEES & INVESTOR BASE

Institutional Terms with Full Alignment

Management Fee

1.75%

Annual, research-intensive

Performance Fee

20%

Net new profits only

Hurdle Rate

5%

Min. return before carry

High-Water Mark

Full

No fees after drawdown

TARGET INVESTOR BASE

- Pension Funds & Endowments
- University Endowments (Swensen Model)
- Family Offices
- Credit-Focused Funds of Funds
- Insurance Companies

Typical Allocation: 5–10% of portfolio to alt. credit

INVESTMENT STRATEGY

Distressed Credit — Catalyst-Driven Approach

LONG CORE

Bonds below 80¢ on the dollar where market pessimism overstates default risk and understates recovery potential.

SHORT HEDGE

Overvalued CCC-rated bonds above 90 — offsets credit-spread widening and provides portfolio convexity.

CATALYST-DRIVEN

Each position tied to a clear value event: Chapter 11 milestones, refinancing, asset sales, or sponsor intervention.

Universe: Bonds <80¢ | Global via Cayman Feeder | No equity-driven positions

RETURN PROFILE

Asymmetric Risk-Adjusted Performance

12–18%

Target Net Annual Return

6–10%

Target Volatility

Low

Correlation to Equities

Discounted entry prices naturally limit downside while preserving significant recovery upside

Historically strongest during credit dislocations and tightening cycles — countercyclical alpha

Master-Feeder structure expands universe to global credit dislocations beyond U.S. markets

Rigorous catalyst analysis ensures each position has a defined path to value realization

PORTFOLIO CONSTRUCTION

Disciplined Exposure Framework

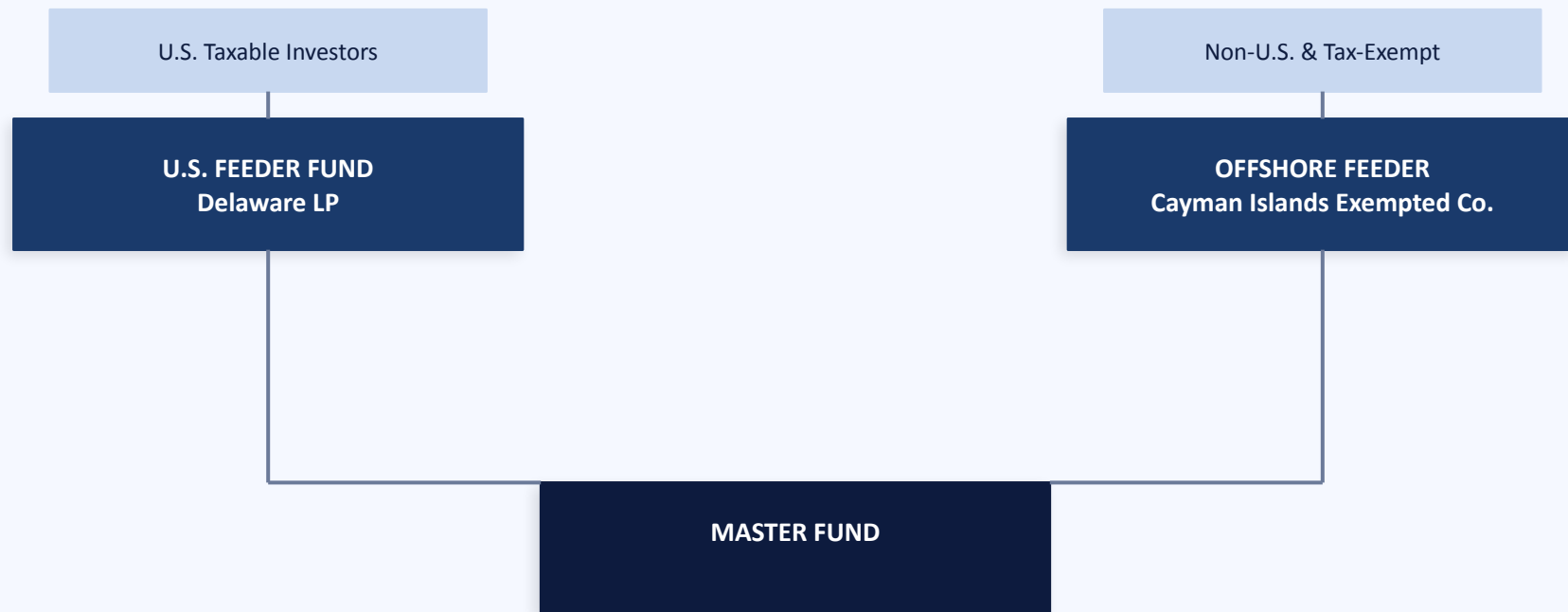
PORTFOLIO PARAMETER	TARGET
Gross Exposure	120% – 160%
Net Exposure	+20% to +40%
Leverage	1.2x – 1.5x
Long Positions	20 – 25
Short Positions	10 – 15
Avg. Duration	3 – 5 years
Liquid Holdings (>\$300M)	~70%

DESIGN PRINCIPLES

- Convexity: longs offer asymmetric upside, shorts provide stress protection
- 70% in liquid issues >\$300M — tradable even under stress conditions
- Focused, catalyst-driven structure — not a diversified credit index
- Daily reconciliation: prime broker, administrator & custodian aligned
- Independent valuation for full NAV transparency

FUND STRUCTURE

Master-Feeder Architecture



Industry standard for credit-focused funds — enables tax neutrality, simplified reporting, and scalable capital pooling across investor types.

LEGAL STRUCTURE

Delaware LP + Cayman Islands — Structured for Institutional Access

DELAWARE LP

Onshore Entity

- Pass-through taxation — partners taxed individually
- No entity-level federal tax on capital gains, dividends, income
- Established legal framework for complex credit strategies
- Targets U.S. taxable investors and family offices
- General Partner: Founding partners hold legal control

CAYMAN ISLANDS

Offshore Exempted Company

- Tax-neutral jurisdiction eliminates UBTI risk for tax-exempt investors
- Enables pension funds & endowments to invest free of tax complications
- Opens fund to foreign investors and future global capital raises
- Offshore Manager: Founding partners, receives incentive fee
- Registered Investment Advisor manages both structures

REGULATORY FILINGS & REGISTRATIONS

SEC, CFTC, NFA & Cayman Compliance

Form ADV

Annual

Discloses RIA details, strategy, risks, conflicts to SEC

Rule 2019

As Needed

Discloses economic interests when participating in bankruptcy restructurings

Reg D / 3(c)(7)

At Issuance

Capital raise exemption from SEC; qualified purchaser standard (>100 investors)

NFA 7R / PQR

Annual/Qtrly

CPO registration; fund activity reporting to CFTC and NFA

Form PF

Quarterly

Reports fund terms, investors, and investment exposures to SEC

Cayman Filings

Annual

Registry form, FAR, FATCA compliance, AML systems and officer appointments

Section 13F / 13H / 13D/ 13G

Quarterly/ As Needed

Equity holdings, large trader ID, and beneficial ownership disclosures

Compliance Manual

Regular Updates

Code of Conduct: Ethics, Anti-Fraud, Anti-Insider Trading, Training and Testing

SERVICE PROVIDER ECOSYSTEM

Institutional-Grade Partners Selected for Distressed Credit Expertise

PRIME BROKER

Goldman Sachs

Deep credit inventory, hard-to-borrow distressed bonds, competitive repo terms, integrated risk reporting

FUND ADMINISTRATOR

Citco

Specialist in complex credit instruments, side-pocket accounting, independent NAV, seamless reconciliation

CUSTODIAN

BNY Mellon

Secure safekeeping of 144A/REGS bonds, settlement efficiency, robust reporting — credible for ODD

AUDITOR

PwC

Independent fair-value verification, distressed-asset accounting expertise, meets pension/endowment audit standards

LEGAL COUNSEL

**Schulte Roth & Zabel + Maples
Group**

SRZ for SEC/CFTC compliance & credit docs; Maples for Cayman structuring and AML regulatory alignment

KEY RISKS

Investment Risks & Operational Risks — Mitigation Embedded in Framework

INVESTMENT

Credit & Default Risk

Mitigation: Catalyst-based entry criteria; scenario stress tests with best/base/worst-case recovery modeling

INVESTMENT

Liquidity Risk

Mitigation: 70% of holdings in issues >\$300M; gates and lockup provisions limit forced selling

INVESTMENT

Leverage & Volatility Risk

Mitigation: Leverage capped at 1.2–1.5x; short book provides convexity to offset event-driven dislocations

OPERATIONAL

Counterparty Risk

Mitigation: Exposure caps per counterparty; Goldman Sachs as exclusive prime broker; daily reconciliation

OPERATIONAL

Valuation & NAV Risk

Mitigation: Independent administrator prices monthly/quarterly; Big Four audit; transparent ODD documentation

RISK CONTROLS

Managing Uncertainty in Illiquid Markets

Stress Testing

Scenario-based modeling replaces VaR - simulates market downturns, liquidity shocks, spread widening, and recovery variance.

Counterparty Limits

Exposure caps per prime broker and counterparty - mitigates failure risk inherent in leveraged and short positions.

Liquidity Management

Ensures a fund can meet investor withdrawals without having to sell hard-to-trade assets at bad prices. To do this, distressed hedge funds often use limits like gates and notice periods, which slow withdrawals and help protect investors during market stress.

Independent Valuation

Monthly/quarterly NAV by independent administrator - prevents overvaluation and ensures accurate fee calculation.

TRADE LIFECYCLE

From Idea Generation to Exit — Integrated Decision Framework

1

Idea Generation

Screen for bonds <80¢ with identifiable catalyst

2

Due Diligence

Capital structure analysis, covenant review, creditor priority

3

Risk Assessment

Scenario modeling: worst/base/best recovery + counterparty check

4

Execution

Via prime broker — OTC negotiation, pricing, counterparty allocation

5

Settlement & Custody

Asset transfer, confirmation, safekeeping

6

Monitoring

Continuous: restructuring progress, credit quality, liquidity signals

7

Valuation

Independent monthly/quarterly NAV — transparent, auditable

8

Exit

Price recovery, restructuring outcome, or thesis invalidation

CONFLICTS OF INTEREST

Identified, Disclosed & Governed

Valuation Conflict

Risk: Higher asset valuations increase management fees — especially problematic for illiquid distressed assets prone to overvaluation.

Mitigation: Independent administrator values all assets; Big Four audit validates pricing quarterly

Allocation Conflict

Risk: Investment opportunities may not be distributed fairly across investor accounts, advantaging certain investors.

Mitigation: Structured allocation policy; compliance officer reviews all allocation decisions across accounts

MNPI Risk

Risk: Distressed investing involves access to sensitive restructuring information — misuse constitutes insider trading.

Mitigation: Formal information barrier policy; compliance training; documented procedures prevent misuse of material non-public info

TECHNOLOGY INFRASTRUCTURE

The Central Nervous System of Kavus Capital

PORTFOLIO MANAGEMENT

SS&C Advent Geneva

Tracks illiquid securities, accrual-based income, long-duration positions with irregular cash flows

ORDER & EXECUTION MGMT

Charles River IMS

OTC trade management, counterparty monitoring, workflow accuracy across complex transactions

RISK PLATFORM

BlackRock Aladdin

Stress testing, scenario analysis, recovery modeling — replaces traditional VaR for distressed credit

DATA INFRASTRUCTURE

AWS Cloud

Structured & unstructured data: legal filings, restructuring docs, earnings transcripts at scale

AI & ANALYTICS

Proprietary + Integrated

Extracts distress signals, flags early credit deterioration, supports recovery valuation in opaque markets

COMPLIANCE, SECURITY & RESILIENCE

Layers 1 & 2 of the Technology Stack

LAYER 1 · INFRASTRUCTURE & AI GOVERNANCE

Zero Trust Architecture

Every access request authenticated regardless of origin — cloud and vendor relationships eliminate any network perimeter

Business Continuity & DR

Geneva, Charles River, and Aladdin recoverable rapidly after outage — preserving ability to manage positions under stress

AI Output Validation

All AI-generated outputs reviewed by qualified personnel before use in risk reporting, valuation, or compliance functions

Data Provenance Controls

Sensitive data processed through AI systems subject to same access restrictions as underlying source data

LAYER 2 · COMPLIANCE & REGULATORY

Trade Surveillance

Monitors all activity for insider trading violations — critical given MNPI exposure in restructuring proceedings

Regulatory Reporting

Automated audit trail supporting Form ADV, Form PF, 13F/13H, and Rule 2019 bankruptcy disclosures

AML Controls

Embedded in investor onboarding and transaction monitoring — compliant with U.S. and Cayman AML requirements

Full Audit Trail

Complete record of all fund activity; enables compliance officer to identify and address issues proactively

WHY KAVUS CAPITAL PARTNERS

- Catalyst-driven distressed credit — asymmetric returns with natural downside limits
- Institutional Master-Feeder structure — scalable, tax-efficient, ODD-ready
- Rigorous scenario stress testing — built for illiquid, event-driven markets
- Institutional-grade service providers — Goldman, Citco, BNY Mellon, PwC, & Schulte Roth & Zabel + Maples Group
- Fully integrated technology — Geneva + Charles River + Aladdin + AI analytics
- Aligned fee structure — 1.75% / 20% with hurdle rate and full high-water mark

Thank you — Questions?

NET RETURN
TARGET

12–18%

TARGET AUM
AT LAUNCH

~\$2B